Practice workbook · Free trade: meaning, gains, losses and trade patterns

Trade without barriers and its effects (lower prices and more choice, cheaper inputs, wider markets, against foreign competition hurting domestic firms and jobs), the effects of cutting or removing tariffs generally, and the typical trade patterns of developed and developing countries.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-04

1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

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1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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Figures from the Office for National Statistics (ONS) showed that the unemployment rate in the North East of England increased to 5.3% in the three months to the end of October 2021.

Output fell significantly in this area of England and business confidence was severely harmed. There was some positive news with the number of people claiming unemployment benefits in the North East of England falling by around 3,500 to 87,780.

(Source: https://www.chroniclelive.co.uk/news/news-opinion/unemployment-rises-north-east-concerns-22452309)

(e) With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 Figure 4 shows the tariff on clothing imported into China in 2018.

Product	Imported Price yuan (¥)	Tariff (%)
Clothing	225	8

Figure 4

(a) Calculate the final selling price of clothing in yuan (¥) after the tariff has been added. You are advised to show your working.

(2)

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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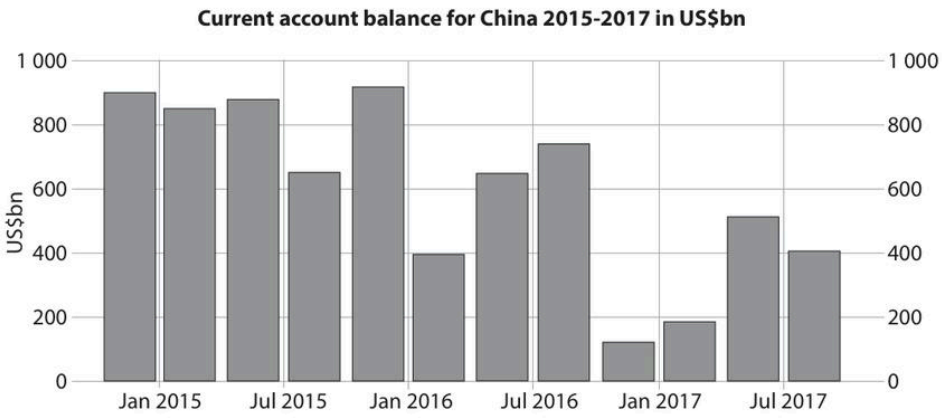


Figure 5

(Source: adapted from https://tradingeconomics.com/china/current-account)

(b) Analyse the benefits of a current account surplus for a country such as China. **(6)**

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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Following a trip to Asia in 2017 by US President Donald Trump, China has reduced tariffs from 17.3% to 7.7% on over 200 consumer products. These include pharmaceuticals, food, health supplements and clothing.

Many multinational corporations may have major financial gains. Nestle's sales could increase by 15% or $18.7bn because of the reduction in tariffs. Procter & Gamble, will also benefit from tariff reductions on items ranging from shampoos to electronic toothbrushes.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of reducing the level of tariffs on imported goods and services to China.

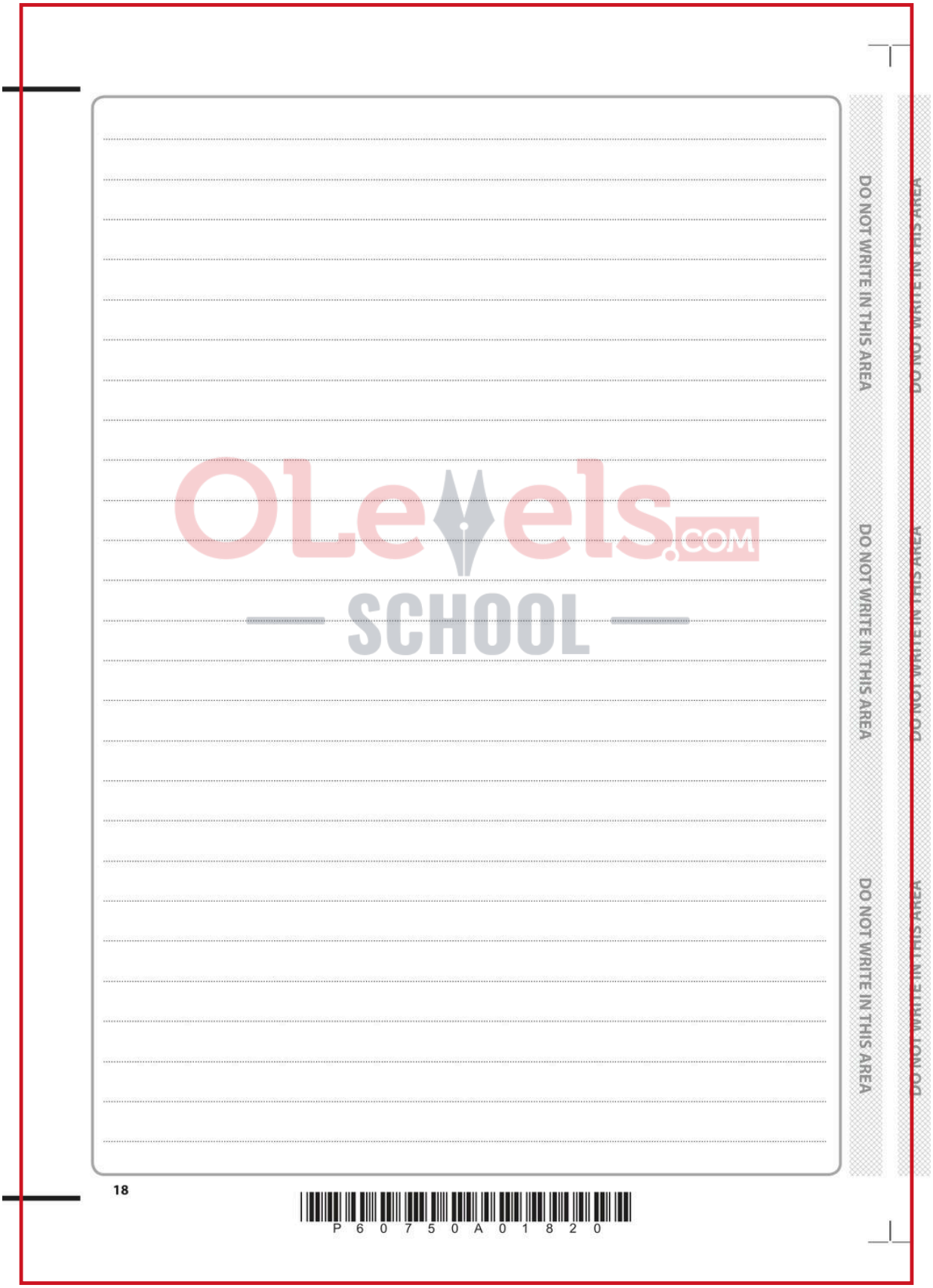
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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

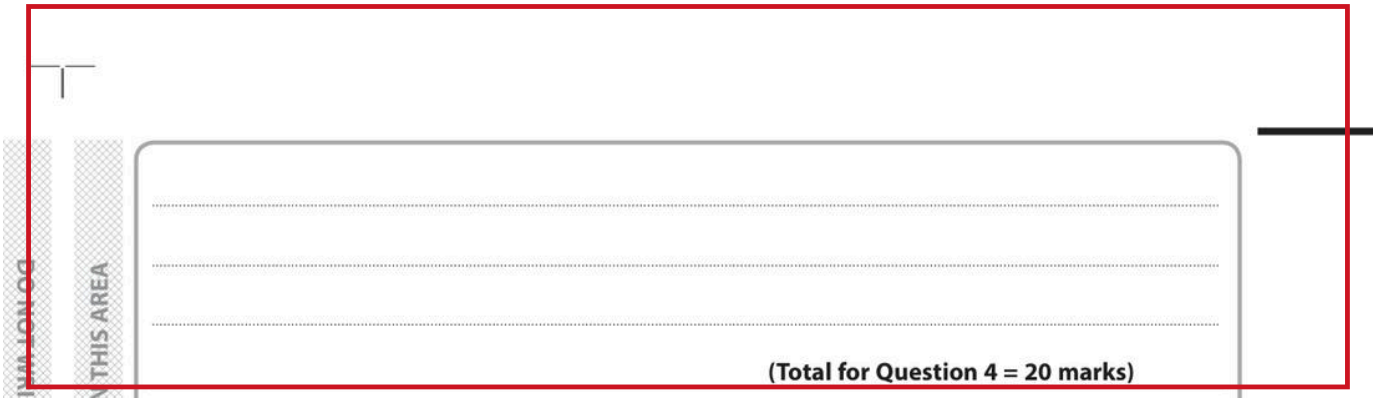
Further practice · Attempt part c only.



2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

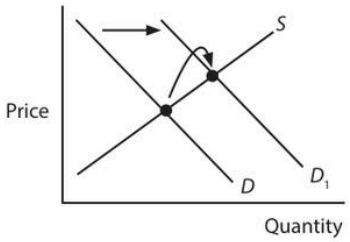
Further practice · Attempt part b only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

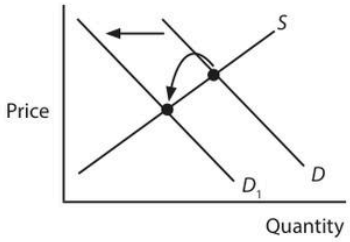
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

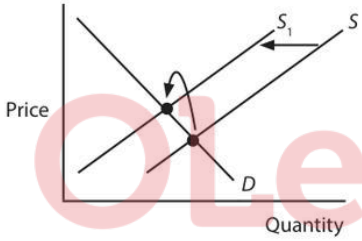
☒ **A**



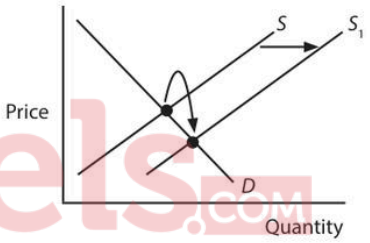
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

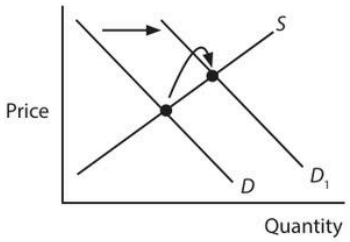
Further practice · Attempt part f only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

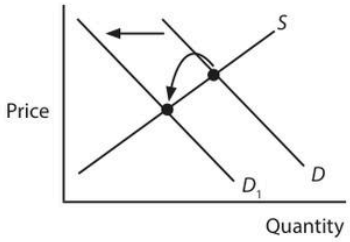
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

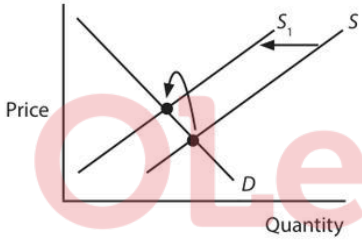
☒ **A**



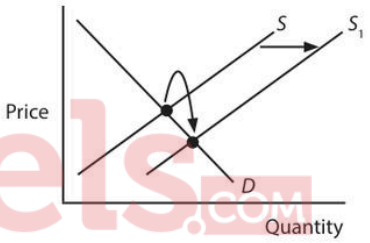
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

Since 2016, 24 Japanese multinational corporations (MNCs) have invested in Bangladesh. This takes the total to 269 Japanese MNCs in Bangladesh. Low wages and the low cost of production are the main reasons for locating in Bangladesh. The cost of production is four times higher in China compared to Bangladesh.

Investments in Bangladesh have been made by Japanese automobile firm Honda and steel manufacturer Nippon Koei. Nippon Koei has invested $59.19m and recruited 2,500 employees to work in its steel factories.

(g) With reference to the data above and your knowledge of economics, assess the benefits that MNCs bring to a country such as Bangladesh.

(9)

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Turn over

4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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6. Question 1 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

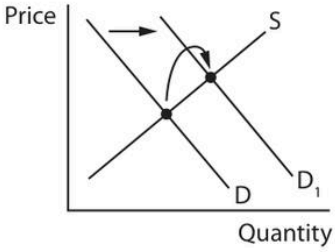
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2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

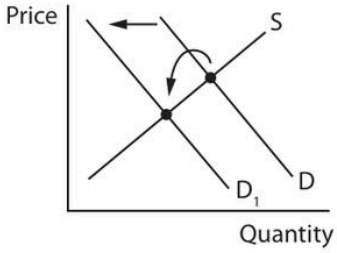
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

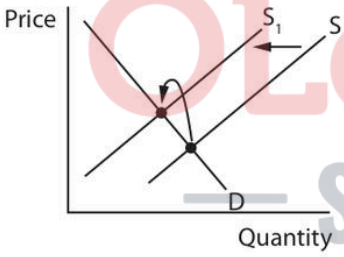
☒ **A**



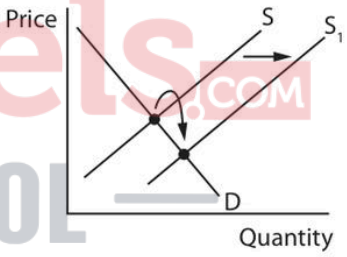
☒ **B**



☒ **C**



☒ **D**



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7. Question 2 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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7. Question 2 · part c · 1 mark · Working and answer

Working and answer

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8. Question 2 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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8. Question 2 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

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8. Question 2 · part d · 2 marks · Working and answer

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is an example of cyclical unemployment? (1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as (1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports? (2)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

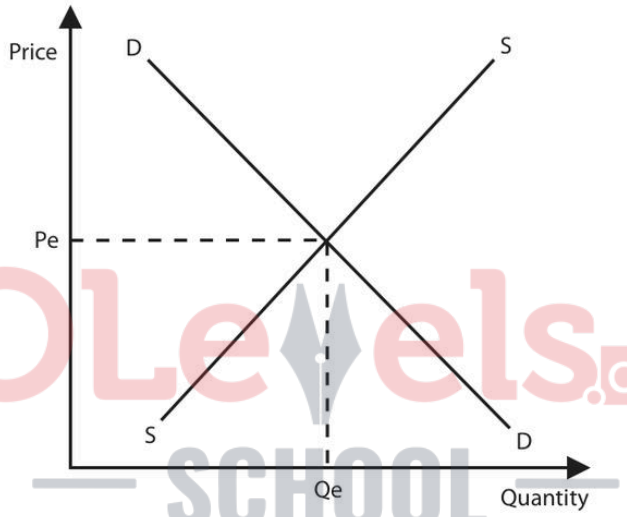


Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In March 2020, the European Union (EU) and Vietnam reached a free trade agreement.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for domestic businesses located within this free trade area.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part h · 6 marks · Working and answer

Working and answer

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

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(d) What is meant by the term recovery?

(2)

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

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Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

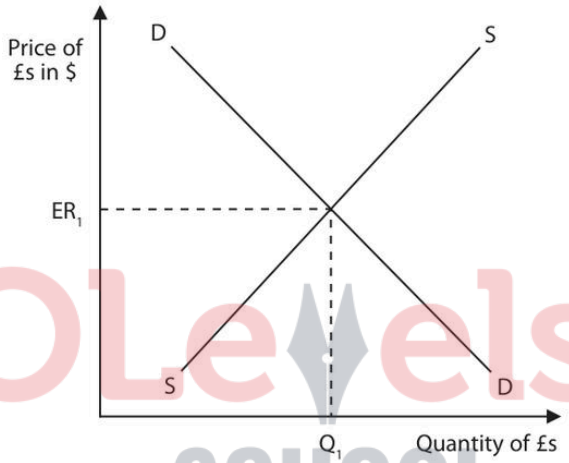


Figure 3

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

After nearly 20 years of negotiations, the European Union (EU) and Mercosur, the South American trading bloc, have agreed a draft trade deal. It would create the largest free trade area in the world consisting of 770 million people. The two blocs currently trade more than €88bn in goods and €34bn in services every year.

The EU would eventually end 92% of the tariffs on Mercosur imports. Mercosur would gradually remove its tariffs on 91% of EU goods, which amounts to €4bn. This includes removing the tariffs on clothing, chemicals, wine and canned peaches. Mercosur farmers would be allowed to export a specific quantity of beef, sugar and chicken at a lower tariff rate to the EU each year.

(Source: https://www.dw.com/en/eu-mercosur-free-trade-deal-what-you-need-to-know/a-49414103)

(g) With reference to the data above and your knowledge of economics, assess the advantages of free trade for firms located within the EU.

(9)

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

10. Question 2 · part g · 9 marks · Working and answer

Working and answer

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11. Question 2 · part c · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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11. Question 2 · part c · 1 mark · Working and answer

Working and answer

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12. Question 1 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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12. Question 1 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

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12. Question 1 · part d · 2 marks · Working and answer

Working and answer

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

In December 2021, the UK and Australia signed a free trade agreement. The agreement will remove 99% of the tariffs on imports from Australia.

(d) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms.

(6)

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.



13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

The Shetland Islands are part of Scotland. Shetland College is the only Further Education college located in the Shetland Islands. It was privatised in August 2021. The managers at the college claim privatisation will improve educational and training opportunities on the Shetland Islands.

Critics claim it could negatively impact staff contracts and working conditions. It may reduce the number of courses available to students and allow managers at the college to award themselves much higher levels of pay.

(Source: https://www.thenational.scot/news/19483135.campaigners-unions-issue-warning-shetland-college-privatisation/)

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college.

(9)

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13. Question 3 · part d · 6 marks · Working and answer

Working and answer

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14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

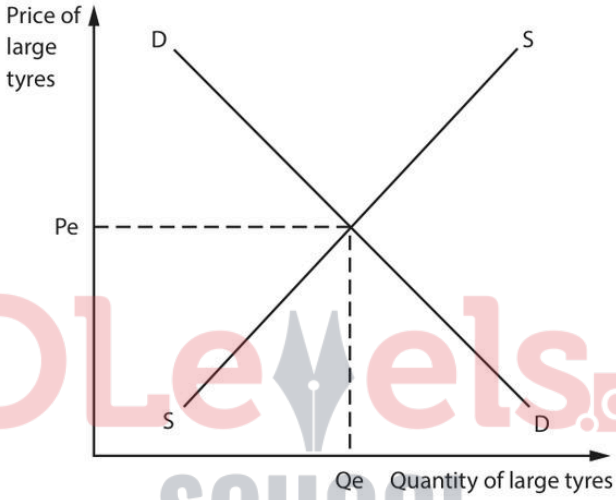


Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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P 7 3 4 9 9 R A 0 4 2 4

14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

Inflation in Germany reached a record annual rate of 10.4% in October 2022. It is predicted to remain high for another two years.

(h) With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany.

(6)

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(Total for Question 1 = 20 marks)

14. Question 1 · part g · 3 marks · Working and answer

Working and answer

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 5 shows the adult entry fee into the Corcovado National Park in Costa Rica and the current exchange rate between the British pound (£) and the Costa Rican colón (CRC).

Entry fee for 1 adult	1 600 CRC
Exchange rate: £ to CRC	£1 = 672 CRC

Figure 5

(a) Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.

(2)

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Costa Rica is a developing country that relies on the export of agricultural commodities such as coffee, bananas, pineapples and vegetables. In 2022, exports from Costa Rica to the UK were valued at £516m. Vegetables and fruit accounted for 73.4% of all goods exported to the UK from Costa Rica.

(b) With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.

(6)

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Costa Rica has 5% of the world's wildlife species but it occupies only 0.03% of the earth's surface. Costa Rica takes pride in having 30 national parks with more than 25% of the territory of Costa Rica marked for conservation.

National parks have economic value to both national and local economies. Costa Rica takes advantage of the growing demand by tourists visiting these national parks by charging an entry fee. National Parks contribute almost $2bn to the Costa Rican economy. 122,465 tourists visited national parks in Costa Rica in the last two weeks of 2021.

Local economies near the national parks benefit from the creation of jobs and the increased expenditure by tourists on hotels, local shops, guides, restaurants and tours.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica.

(12)

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15. Question 4 · part b · 6 marks · Working and answer

Working and answer

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

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(d) What is meant by the term indirect tax?

(2)

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

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The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($). Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

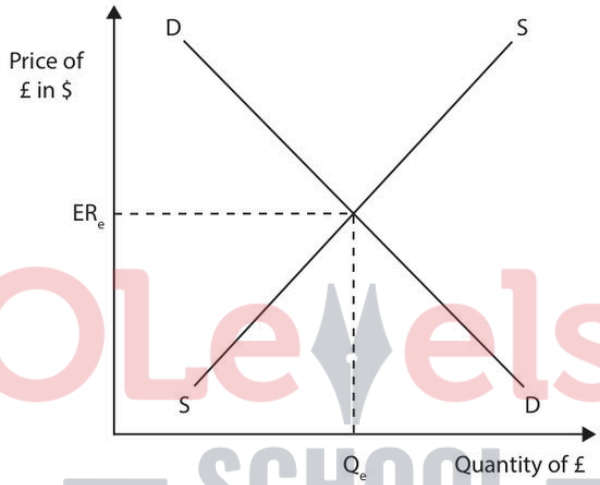


Figure 3

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In September 2023, South Korea signed a free trade agreement (FTA) with the Philippines. This removed a 5% import tariff on South Korean cars and a 30% import tariff on South Korean car parts.

The Philippines has the 12th largest population in the world and is one of the biggest car and car parts importers. In 2023, the total number of car sales in the Philippines was 366,000.

South Korean-made cars account for 2.5% of the Philippine car market. It is dominated by Japanese-made cars, which have an 82.5% market share.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines.

(9)

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P 7 2 1 3 4 A 0 1 1 2 8

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Turn over

16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

16. Question 2 · part g · 9 marks · Working and answer

Working and answer

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

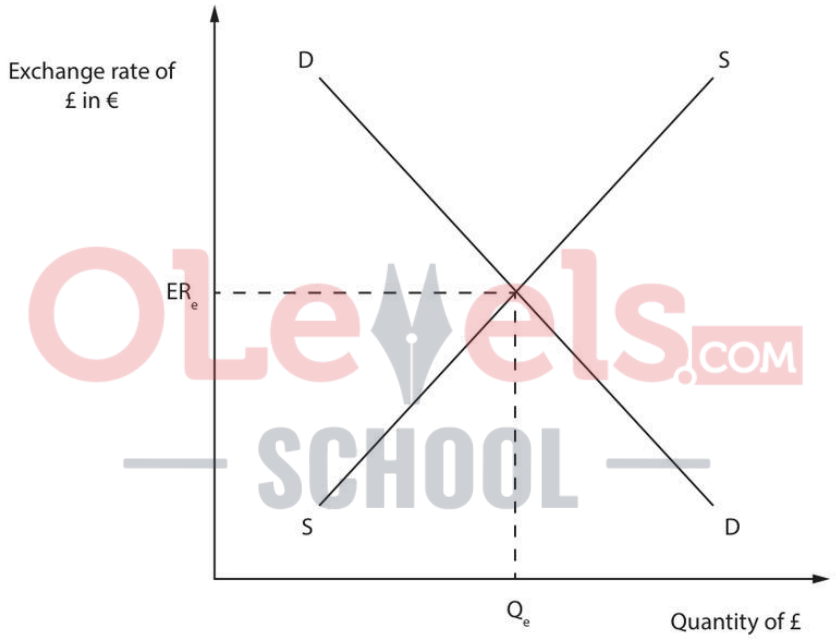


Figure 1

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

The South Korean Government is to introduce deregulation to boost the growth of industries, such as artificial intelligence (AI) and biotechnology. The country will create a regulation-free zone where firms can develop technologies without any barriers.

(h) With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea.

(6)

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17. Question 1 · part g · 3 marks · Working and answer

Working and answer

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